



4Q2025
EARNINGS

Financial and Operational Schedules & Non-GAAP Reconciliations

January 28, 2026

AT&T Inc.
Financial Data

Consolidated Statements of Income						
<i>Dollars in millions except per share amounts</i>						
<i>Unaudited</i>						
	Fourth Quarter		Percent	Year Ended		Percent
	2025	2024	Change	2025	2024	Change
Operating Revenues						
Service	\$ 25,392	\$ 25,153	1.0 %	\$ 101,158	\$ 100,135	1.0 %
Equipment	8,074	7,145	13.0 %	24,490	22,201	10.3 %
Total Operating Revenues	33,466	32,298	3.6 %	125,648	122,336	2.7 %
Operating Expenses						
Cost of revenues						
Equipment	8,496	7,358	15.5 %	25,396	22,249	14.1 %
Other cost of revenues (exclusive of depreciation and amortization shown separately below)	6,322	6,837	(7.5)%	25,424	26,972	(5.7)%
Selling, general and administrative	7,398	7,389	0.1 %	28,942	28,411	1.9 %
Asset impairments and abandonments and restructuring	334	14	— %	838	5,075	(83.5)%
Depreciation and amortization	5,128	5,374	(4.6)%	20,886	20,580	1.5 %
Total Operating Expenses	27,678	26,972	2.6 %	101,486	103,287	(1.7)%
Operating Income	5,788	5,326	8.7 %	24,162	19,049	26.8 %
Interest Expense	1,791	1,661	7.8 %	6,804	6,759	0.7 %
Equity in Net Income (Loss) of Affiliates	(10)	1,074	— %	1,895	1,989	(4.7)%
Other Income (Expense) — Net	278	569	(51.1)%	7,754	2,419	— %
Income Before Income Taxes	4,265	5,308	(19.6)%	27,007	16,698	61.7 %
Income Tax Expense	109	900	(87.9)%	3,621	4,445	(18.5)%
Net Income	4,156	4,408	(5.7)%	23,386	12,253	90.9 %
Less: Net Income Attributable to Noncontrolling Interest	(368)	(328)	(12.2)%	(1,433)	(1,305)	(9.8)%
Net Income Attributable to AT&T	\$ 3,788	\$ 4,080	(7.2)%	\$ 21,953	\$ 10,948	— %
Less: Preferred Stock Dividends and Redemption Gain	(36)	(49)	26.5 %	(64)	(202)	68.3 %
Net Income Attributable to Common Stock	\$ 3,752	\$ 4,031	(6.9)%	\$ 21,889	\$ 10,746	— %
Basic Earnings Per Share Attributable to Common Stock	\$ 0.53	\$ 0.56	(5.4)%	\$ 3.04	\$ 1.49	— %
Weighted Average Common Shares Outstanding (000,000)	7,098	7,207	(1.5)%	7,169	7,199	(0.4)%
Diluted Earnings Per Share Attributable to Common Stock	\$ 0.53	\$ 0.56	(5.4)%	\$ 3.04	\$ 1.49	— %
Weighted Average Common Shares Outstanding with Dilution (000,000)	7,108	7,215	(1.5)%	7,179	7,204	(0.3)%

AT&T Inc.
Financial Data

Consolidated Balance Sheets		
<i>Dollars in millions</i>		
<i>Unaudited</i>	Dec. 31, 2025	Dec. 31, 2024
Assets		
Current Assets		
Cash and cash equivalents	\$ 18,234	\$ 3,298
Accounts receivable – net of related allowance for credit loss of \$429 and \$375	8,843	9,638
Inventories	2,420	2,270
Prepaid and other current assets	19,235	15,962
Total current assets	48,732	31,168
Property, Plant and Equipment – Net	131,559	128,871
Goodwill – Net	63,425	63,432
Licenses – Net	128,148	127,035
Other Intangible Assets – Net	5,254	5,255
Investments in and Advances to Equity Affiliates	1,106	295
Operating Lease Right-Of-Use Assets	22,642	20,909
Other Assets	19,332	17,830
Total Assets	\$ 420,198	\$ 394,795
Liabilities and Stockholders' Equity		
Current Liabilities		
Debt maturing within one year	\$ 9,011	\$ 5,089
Accounts payable and accrued liabilities	38,514	35,657
Advanced billings and customer deposits	4,266	4,099
Dividends payable	1,989	2,027
Total current liabilities	53,780	46,872
Long-Term Debt	127,089	118,443
Deferred Credits and Other Noncurrent Liabilities		
Noncurrent deferred tax liabilities	58,312	58,939
Postemployment benefit obligation	8,478	9,025
Operating lease liabilities	18,943	17,391
Other noncurrent liabilities	25,104	23,900
Total deferred credits and other noncurrent liabilities	110,837	109,255
Redeemable Noncontrolling Interest	2,001	1,980
Stockholders' Equity		
Preferred stock	—	—
Common stock	7,621	7,621
Additional paid-in capital	106,533	109,108
Retained earnings	15,768	1,871
Treasury stock	(18,529)	(15,023)
Accumulated other comprehensive income (loss)	(860)	795
Noncontrolling interest	15,958	13,873
Total stockholders' equity	126,491	118,245
Total Liabilities and Stockholders' Equity	\$ 420,198	\$ 394,795

AT&T Inc.
Financial Data

Consolidated Statements of Cash Flows			
<i>Dollars in millions</i>			
<i>Unaudited</i>			
	Year Ended		
	2025	2024	
Operating Activities			
Net income	\$ 23,386	\$ 12,253	
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization	20,886	20,580	
Provision for uncollectible accounts	2,271	1,969	
Asset impairments and abandonments and restructuring	838	5,075	
Pension and postretirement benefit expense (credit)	(1,588)	(1,883)	
Actuarial (gain) loss on pension and postretirement benefits - net	519	56	
Net (gain) loss on investments	(5,889)	80	
Changes in operating assets and liabilities:			
Receivables	(1,526)	123	
Equipment installment receivables and related sales	324	(1,846)	
Contract asset and cost deferral	(1,208)	160	
Inventories, prepaid and other current assets	(460)	70	
Accounts payable and other accrued liabilities	884	(1,104)	
Changes in income taxes	2,226	1,978	
Postretirement claims and contributions	(1,436)	(166)	
Other - net	1,057	1,426	
Total adjustments	16,898	26,518	
Net Cash Provided by Operating Activities	40,284	38,771	
Investing Activities			
Capital expenditures	(20,842)	(20,263)	
Acquisitions, net of cash acquired	(379)	(380)	
Dispositions	3,218	75	
Distributions from DIRECTV in excess of cumulative equity in earnings	—	928	
(Purchases), sales and settlements of securities - net	181	2,575	
Other - net	(955)	(425)	
Net Cash Used in Investing Activities	(18,777)	(17,490)	
Financing Activities			
Issuance of other short-term borrowings	—	491	
Repayment of other short-term borrowings	—	(2,487)	
Issuance of long-term debt	14,027	19	
Repayment of long-term debt	(5,528)	(10,297)	
Payment of vendor financing	(1,181)	(1,792)	
Redemption of preferred stock	(2,075)	—	
Purchase of treasury stock	(4,500)	(215)	
Issuance of treasury stock	21	15	
Issuance of preferred interests in subsidiary	2,221	—	
Redemption of preferred interests in subsidiary	(65)	—	
Dividends paid	(8,180)	(8,208)	
Other - net	(1,126)	(2,234)	
Net Cash Used in Financing Activities	(6,386)	(24,708)	
Net increase (decrease) in cash and cash equivalents and restricted cash	15,121	(3,427)	
Cash and cash equivalents and restricted cash beginning of year	3,406	6,833	
Cash and Cash Equivalents and Restricted Cash End of Year	\$ 18,527	\$ 3,406	

AT&T Inc.
Consolidated Supplementary Data

Supplementary Financial Data						
<i>Dollars in millions except per share amounts</i>						
<i>Unaudited</i>	Fourth Quarter		Percent	Year Ended		Percent
	2025	2024	Change	2025	2024	Change
Capital expenditures						
Purchase of property and equipment	\$ 6,737	\$ 6,800	(0.9)%	\$20,677	\$ 20,101	2.9 %
Interest during construction	44	43	2.3 %	165	162	1.9 %
Total Capital Expenditures	\$ 6,781	\$ 6,843	(0.9)%	\$20,842	\$ 20,263	2.9 %
Acquisitions, net of cash acquired						
Business acquisitions	\$ —	\$ —	— %	\$ —	\$ —	— %
Spectrum acquisitions	322	28	— %	323	181	78.5 %
Interest during construction - spectrum	10	30	(66.7)%	56	199	(71.9) %
Total Acquisitions	\$ 332	\$ 58	— %	\$ 379	\$ 380	(0.3) %
Cash paid for interest	\$ 1,454	\$ 1,517	(4.2)%	\$ 6,625	\$ 7,132	(7.1) %
Cash paid for income taxes, net of refunds	\$ 456	\$ 1,574	(71.0)%	\$ 1,353	\$ 2,456	(44.9) %
Dividends Declared per Common Share	\$ 0.2775	\$ 0.2775	— %	\$ 1.11	\$ 1.11	— %
End of Period Common Shares Outstanding (000,000)				7,037	7,176	(1.9) %
Debt Ratio				51.4 %	50.7 %	70 BP
Total Employees				133,030	140,990	(5.6) %

COMMUNICATIONS SEGMENT

The Communications segment provides wireless and wireline telecom and broadband services to consumers located in the U.S. and businesses globally. The Communications segment contains three reporting units: Mobility, Business Wireline and Consumer Wireline.

Segment Results							
<i>Dollars in millions</i>							
<i>Unaudited</i>							
	Fourth Quarter		Percent		Year Ended		Percent
	2025	2024	Change		2025	2024	Change
Segment Operating Revenues							
Mobility	\$ 24,354	\$ 23,129	5.3 %		\$ 89,482	\$ 85,255	5.0 %
Business Wireline	4,202	4,545	(7.5) %		17,231	18,819	(8.4) %
Consumer Wireline	3,565	3,465	2.9 %		14,183	13,578	4.5 %
Total Segment Operating Revenues	32,121	31,139	3.2 %		120,896	117,652	2.8 %
Segment Operating Income (Loss)							
Mobility	6,400	6,124	4.5 %		27,196	26,314	3.4 %
Business Wireline	(163)	(211)	22.7 %		(816)	(88)	— %
Consumer Wireline	538	276	94.9 %		1,547	869	78.0 %
Total Segment Operating Income	\$ 6,775	\$ 6,189	9.5 %		\$ 27,927	\$ 27,095	3.1 %
Operating Income Margin	21.1 %	19.9 %	120 BP		23.1 %	23.0 %	10 BP

Mobility

Mobility provides nationwide wireless service and equipment.

Mobility Results						
<i>Dollars in millions</i>						
<i>Unaudited</i>						
	Fourth Quarter		Percent	Year Ended		Percent
	2025	2024	Change	2025	2024	Change
Operating Revenues						
Service	\$ 16,954	\$ 16,563	2.4 %	\$ 67,384	\$ 65,373	3.1 %
Equipment	7,400	6,566	12.7 %	22,098	19,882	11.1 %
Total Operating Revenues	24,354	23,129	5.3 %	89,482	85,255	5.0 %
Operating Expenses						
Operations and support	15,191	14,241	6.7 %	51,864	48,724	6.4 %
Depreciation and amortization	2,763	2,764	— %	10,422	10,217	2.0 %
Total Operating Expenses	17,954	17,005	5.6 %	62,286	58,941	5.7 %
Operating Income	\$ 6,400	\$ 6,124	4.5 %	\$ 27,196	\$ 26,314	3.4 %
Operating Income Margin	26.3 %	26.5 %	(20) BP	30.4 %	30.9 %	(50) BP

Supplementary Operating Data						
<i>Subscribers and connections in thousands</i>						
<i>Unaudited</i>						
	December 31,		Percent			Percent
	2025	2024	Change			Change
Mobility Subscribers						
Postpaid	90,879	89,200	1.9 %			
Postpaid phone	74,214	72,749	2.0 %			
Prepaid	18,294	19,023	(3.8) %			
Reseller	10,932	9,628	13.5 %			
Total Mobility Subscribers¹	120,105	117,851	1.9 %			
	Fourth Quarter		Percent	Year Ended		Percent
	2025	2024	Change	2025	2024	Change
Mobility Net Additions						
Postpaid Phone Net Additions	421	482	(12.7) %	1,551	1,653	(6.2) %
Total Phone Net Additions	166	363	(54.3) %	1,159	1,525	(24.0) %
Postpaid	641	839	(23.6) %	1,738	2,250	(22.8) %
Prepaid	(183)	(136)	(34.6) %	(536)	(102)	— %
Reseller	699	1,110	(37.0) %	1,112	2,020	(45.0) %
Total Mobility Net Additions^{1,2}	1,157	1,813	(36.2) %	2,314	4,168	(44.5) %
Postpaid Churn	1.12 %	1.00 %	12 BP	1.05 %	0.92 %	13 BP
Postpaid Phone Churn	0.98 %	0.85 %	13 BP	0.90 %	0.76 %	14 BP

¹ Wireless subscribers and net additions exclude customers with free lines provided under promotional pricing until such lines are converted to paying lines.

² Excludes migrations between wireless subscriber categories, including connected devices, and acquisition-related activity during the period.

Business Wireline

Business Wireline provides advanced ethernet-based fiber services, IP Voice and managed professional services, our fixed wireless access product, traditional voice and data services and related equipment to business customers.

Business Wireline Results						
<i>Dollars in millions</i>						
<i>Unaudited</i>						
	Fourth Quarter		Percent	Year Ended		Percent
	2025	2024	Change	2025	2024	Change
Operating Revenues						
Legacy and other transitional services	\$ 2,138	\$ 2,590	(17.5) %	\$ 9,170	\$ 11,095	(17.4) %
Fiber and advanced connectivity services	1,907	1,786	6.8 %	7,333	6,969	5.2 %
Equipment	157	169	(7.1) %	728	755	(3.6) %
Total Operating Revenues	4,202	4,545	(7.5) %	17,231	18,819	(8.4) %
Operating Expenses						
Operations and support	3,085	3,348	(7.9) %	12,213	13,352	(8.5) %
Depreciation and amortization	1,280	1,408	(9.1) %	5,834	5,555	5.0 %
Total Operating Expenses	4,365	4,756	(8.2) %	18,047	18,907	(4.5) %
Operating Income (Loss)	\$ (163)	\$ (211)	22.7 %	\$ (816)	\$ (88)	— %
Operating Income Margin	(3.9)%	(4.6)%	70 BP	(4.7)%	(0.5)%	(420) BP

Consumer Wireline

Consumer Wireline provides broadband services, including fiber connections that provide multi-gig services, and AT&T Internet Air (AIA) services, to residential customers in select locations. Consumer Wireline also provides legacy telephony voice communication services.

Consumer Wireline Results							
<i>Dollars in millions</i>							
<i>Unaudited</i>							
	Fourth Quarter		Percent	Year Ended		Percent	
	2025	2024	Change	2025	2024	Change	
Operating Revenues							
Broadband	\$ 3,105	\$ 2,911	6.7 %	\$ 12,187	\$ 11,212	8.7 %	
Legacy voice and data services	219	293	(25.3) %	1,013	1,265	(19.9) %	
Other service and equipment	241	261	(7.7) %	983	1,101	(10.7) %	
Total Operating Revenues	3,565	3,465	2.9 %	14,183	13,578	4.5 %	
Operating Expenses							
Operations and support	2,195	2,247	(2.3) %	8,933	9,048	(1.3) %	
Depreciation and amortization	832	942	(11.7) %	3,703	3,661	1.1 %	
Total Operating Expenses	3,027	3,189	(5.1) %	12,636	12,709	(0.6) %	
Operating Income	\$ 538	\$ 276	94.9 %	\$ 1,547	\$ 869	78.0 %	
Operating Income Margin	15.1 %	8.0 %	710 BP	10.9 %	6.4 %	450 BP	

Supplementary Operating Data						
<i>Subscribers and connections in thousands</i>						
<i>Unaudited</i>				December 31,		Percent
				2025	2024	Change
Broadband Connections						
Broadband ¹				14,704	13,987	5.1 %
Fiber Broadband Connections				10,406	9,331	11.5 %
				Fourth Quarter	Percent	Year Ended
				2025	2024	Change
				2025	2024	Change
Broadband Net Additions						
Broadband Net Additions ^{1, 2}				210	123	70.7 %
Fiber Broadband Net Additions				283	307	(7.8) %
				729	258	— %
				1,075	1,024	5.0 %

¹ Includes AIA.

² Excludes the impact of subscriber disconnections resulting from the termination of AIA services in areas with unfavorable regulatory requirements in the first quarter of 2025.

¹ Includes AIA.

² Excludes the impact of subscriber disconnections resulting from the termination of AIA services in areas with unfavorable regulatory requirements in the first quarter of 2025.

LATIN AMERICA SEGMENT

The segment provides wireless services and equipment to customers in Mexico.

Segment Results							
<i>Dollars in millions</i>							
<i>Unaudited</i>							
	Fourth Quarter		Percent		Year Ended		Percent
	2025	2024	Change		2025	2024	Change
Operating Revenues							
Wireless service	\$ 742	\$ 634	17.0 %		\$ 2,715	\$ 2,668	1.8 %
Wireless equipment	517	410	26.1 %		1,664	1,564	6.4 %
Total Operating Revenues	1,259	1,044	20.6 %		4,379	4,232	3.5 %
Operating Expenses							
Operations and support	1,036	873	18.7 %		3,563	3,535	0.8 %
Depreciation and amortization	189	150	26.0 %		671	657	2.1 %
Total Operating Expenses	1,225	1,023	19.7 %		4,234	4,192	1.0 %
Operating Income	\$ 34	\$ 21	61.9 %		\$ 145	\$ 40	— %
Operating Income Margin	2.7 %	2.0 %	70 BP		3.3 %	0.9 %	240 BP

Supplementary Operating Data							
<i>Subscribers and connections in thousands</i>							
<i>Unaudited</i>							
	December 31,		Percent		December 31,		Percent
	2025	2024	Change		2025	2024	Change
Mexico Wireless Subscribers							
Postpaid	6,751	5,837	15.7 %				
Prepaid	17,730	17,486	1.4 %				
Reseller	199	253	(21.3) %				
Total Mexico Wireless Subscribers	24,680	23,576	4.7 %				
	Fourth Quarter		Percent		Year Ended		Percent
	2025	2024	Change		2025	2024	Change
Mexico Wireless Net Additions							
Postpaid	328	204	60.8 %		914	601	52.1 %
Prepaid	222	490	(54.7) %		244	823	(70.4) %
Reseller	(19)	(29)	34.5 %		(54)	(164)	67.1 %
Total Mexico Wireless Net Additions	531	665	(20.2) %		1,104	1,260	(12.4) %

SUPPLEMENTAL SEGMENT RECONCILIATION

Three Months Ended				
<i>Dollars in millions</i>				
<i>Unaudited</i>				
<i>December 31, 2025</i>				
	Revenues	Operations and Support Expenses	Depreciation and Amortization	Operating Income (Loss)
Communications				
Mobility	\$ 24,354	\$ 15,191	\$ 2,763	\$ 6,400
Business Wireline	4,202	3,085	1,280	(163)
Consumer Wireline	3,565	2,195	832	538
Total Communications	32,121	20,471	4,875	6,775
Latin America	1,259	1,036	189	34
Segment Total	33,380	21,507	5,064	6,809
Corporate and Other				
Corporate:				
DTV-related retained costs	—	56	50	(106)
Parent administration support	(3)	490	4	(497)
Securitization fees	28	164	—	(136)
Value portfolio	61	13	—	48
Total Corporate	86	723	54	(691)
Certain significant items	—	320	10	(330)
Total Corporate and Other	86	1,043	64	(1,021)
AT&T Inc.	\$ 33,466	\$ 22,550	\$ 5,128	\$ 5,788
 <i>December 31, 2024</i>				
	Revenues	Operations and Support Expenses	Depreciation and Amortization	Operating Income (Loss)
Communications				
Mobility	\$ 23,129	\$ 14,241	\$ 2,764	\$ 6,124
Business Wireline	4,545	3,348	1,408	(211)
Consumer Wireline	3,465	2,247	942	276
Total Communications	31,139	19,836	5,114	6,189
Latin America	1,044	873	150	21
Segment Total	32,183	20,709	5,264	6,210
Corporate and Other				
Corporate:				
DTV-related retained costs	—	108	97	(205)
Parent administration support	(2)	486	1	(489)
Securitization fees	30	179	—	(149)
Value portfolio	87	25	2	60
Total Corporate	115	798	100	(783)
Certain significant items	—	91	10	(101)
Total Corporate and Other	115	889	110	(884)
AT&T Inc.	\$ 32,298	\$ 21,598	\$ 5,374	\$ 5,326

SUPPLEMENTAL SEGMENT RECONCILIATION

Year Ended					
<i>Dollars in millions</i>					
<i>Unaudited</i>					
December 31, 2025					
	Revenues	Operations and Support Expenses	Depreciation and Amortization	Operating Income (Loss)	
Communications					
Mobility	\$ 89,482	\$ 51,864	\$ 10,422	\$ 27,196	
Business Wireline	17,231	12,213	5,834	(816)	
Consumer Wireline	14,183	8,933	3,703	1,547	
Total Communications	120,896	73,010	19,959	27,927	
Latin America	4,379	3,563	671	145	
Segment Total	125,275	76,573	20,630	28,072	
Corporate and Other					
Corporate:					
DTV-related retained costs	—	225	200	(425)	
Parent administration support	(1)	1,737	18	(1,756)	
Securitization fees	115	702	—	(587)	
Value portfolio	259	50	—	209	
Total Corporate	373	2,714	218	(2,559)	
Certain significant items	—	1,313	38	(1,351)	
Total Corporate and Other	373	4,027	256	(3,910)	
AT&T Inc.	\$ 125,648	\$ 80,600	\$ 20,886	\$ 24,162	
 <i>December 31, 2024</i>					
	Revenues	Operations and Support Expenses	Depreciation and Amortization	Operating Income (Loss)	
Communications					
Mobility	\$ 85,255	\$ 48,724	\$ 10,217	\$ 26,314	
Business Wireline	18,819	13,352	5,555	(88)	
Consumer Wireline	13,578	9,048	3,661	869	
Total Communications	117,652	71,124	19,433	27,095	
Latin America	4,232	3,535	657	40	
Segment Total	121,884	74,659	20,090	27,135	
Corporate and Other					
Corporate:					
DTV-related retained costs	—	465	414	(879)	
Parent administration support	(2)	1,722	6	(1,730)	
Securitization fees	116	628	—	(512)	
Value portfolio	338	102	17	219	
Total Corporate	452	2,917	437	(2,902)	
Certain significant items	—	5,131	53	(5,184)	
Total Corporate and Other	452	8,048	490	(8,086)	
AT&T Inc.	\$ 122,336	\$ 82,707	\$ 20,580	\$ 19,049	

Discussion and Reconciliation of Non-GAAP Measures

We believe the following measures are relevant and useful information to investors as they are part of AT&T's internal management reporting and planning processes and are important metrics that management uses to evaluate the operating performance of AT&T and its segments. Management also uses these measures as a method of comparing performance with that of many of our competitors. These measures should be considered in addition to, but not as a substitute for, other measures of financial performance reported in accordance with U.S. generally accepted accounting principles (GAAP). Prior periods have been recast to conform to the current period presentation to remove cash flows and equity in net income from our investment in DIRECTV, which we sold to TPG Capital on July 2, 2025.

Free Cash Flow

Free cash flow is defined as cash from operations minus cash flows related to our DIRECTV equity investment (cash distributions minus cash taxes from DIRECTV), minus capital expenditures and cash paid for vendor financing (classified as financing activities). Free cash flow after dividends is defined as cash from operations minus cash flows related to our DIRECTV equity investment, capital expenditures, cash paid for vendor financing and dividends on common and preferred shares. Free cash flow dividend payout ratio is defined as the percentage of dividends paid on common and preferred shares to free cash flow. We believe these metrics provide useful information to our investors because management views free cash flow as an important indicator of how much cash is generated by routine business operations, including capital expenditures and vendor financing, and makes decisions based on it. Management also views free cash flow as a measure of cash available to pay debt and return cash to shareowners.

Free Cash Flow and Free Cash Flow Dividend Payout Ratio				
<i>Dollars in millions</i>				
	Fourth Quarter		Year Ended	
	2025	2024	2025	2024
Net cash provided by operating activities	\$ 11,320	\$ 11,896	\$ 40,284	\$ 38,771
Less: Distributions from DIRECTV classified as operating activities	—	(1,072)	(1,926)	(2,027)
Less: Cash taxes paid on DIRECTV	—	254	251	656
Less: Capital expenditures	(6,781)	(6,843)	(20,842)	(20,263)
Less: Payment of vendor financing	(358)	(221)	(1,181)	(1,792)
Free Cash Flow	4,181	4,014	16,586	15,345
Less: Dividends paid	(2,012)	(2,037)	(8,180)	(8,208)
Free Cash Flow after Dividends	\$ 2,169	\$ 1,977	\$ 8,406	\$ 7,137
Free Cash Flow Dividend Payout Ratio	48.1 %	50.7 %	49.3 %	53.5 %

Cash Paid for Capital Investment

In connection with capital improvements, we negotiate with some of our vendors to obtain favorable payment terms of 120 days or more, referred to as vendor financing, which are excluded from capital expenditures and reported in accordance with GAAP as financing activities. We present an additional view of cash paid for capital investment to provide investors with a comprehensive view of cash used to invest in our networks, product developments and support systems.

Cash Paid for Capital Investment				
<i>Dollars in millions</i>				
	Fourth Quarter		Year Ended	
	2025	2024	2025	2024
Capital Expenditures	\$ (6,781)	\$ (6,843)	\$ (20,842)	\$ (20,263)
Payment of vendor financing	(358)	(221)	(1,181)	(1,792)
Cash paid for Capital Investment	\$ (7,139)	\$ (7,064)	\$ (22,023)	\$ (22,055)

EBITDA

Our calculation of EBITDA, as presented, may differ from similarly titled measures reported by other companies. For AT&T, EBITDA excludes other income (expense) – net, and equity in net income (loss) of affiliates, as these either do not reflect the operating results of our subscriber base or are operations that are not under our control. Equity in net income (loss) of affiliates represents the proportionate share of the net income (loss) of affiliates in which we exercise significant influence, but do not control. Because we do not control these entities, management excludes these results when evaluating the performance of our primary operations. EBITDA also excludes interest expense and the provision for income taxes. Excluding these items eliminates the expenses associated with our capital and tax structures. Finally, EBITDA excludes depreciation and amortization in order to eliminate the impact of capital investments. EBITDA does not give effect to cash used for debt service requirements and thus does not reflect available funds for distributions, reinvestment or other discretionary uses. EBITDA is not presented as an alternative measure of operating results or cash flows from operations, as determined in accordance with GAAP.

EBITDA service margin is calculated as EBITDA divided by service revenues.

These measures are used by management as a gauge of our success in acquiring, retaining and servicing subscribers because we believe these measures reflect AT&T's ability to generate and grow subscriber revenues while providing a high level of customer service in a cost-effective manner. Management also uses these measures as a method of comparing cash generation potential with that of many of its competitors. The financial and operating metrics which affect EBITDA include the key revenue and expense drivers for which management is responsible and upon which we evaluate performance.

We believe EBITDA Service Margin (EBITDA as a percentage of service revenues) to be an additional relevant measure to EBITDA Margin (EBITDA as a percentage of total revenue) for our Mobility business unit operating margin. We also use wireless service revenues to calculate margin to facilitate comparison, both internally and externally with our wireless competitors, as they calculate their margins using wireless service revenues as well.

There are material limitations to using these non-GAAP financial measures. EBITDA, EBITDA margin and EBITDA service margin, as we have defined them, may not be comparable to similarly titled measures reported by other companies. Furthermore, these performance measures do not take into account certain significant items, including depreciation and amortization, interest expense, tax expense and equity in net income (loss) of affiliates. For market comparability, management analyzes performance measures that are similar in nature to EBITDA as we present it, and considering the economic effect of the excluded expense items independently as well as in connection with its analysis of net income as calculated in accordance with GAAP. EBITDA, EBITDA margin and EBITDA service margin should be considered in addition to, but not as a substitute for, other measures of financial performance reported in accordance with GAAP.

EBITDA and Adjusted EBITDA				
<i>Dollars in millions</i>				
	Fourth Quarter		Year Ended	
	2025	2024	2025	2024
Net Income	\$ 4,156	\$ 4,408	\$ 23,386	\$ 12,253
Additions:				
Income Tax Expense	109	900	3,621	4,445
Interest Expense	1,791	1,661	6,804	6,759
Equity in Net (Income) Loss of Affiliates	10	(1,074)	(1,895)	(1,989)
Other (Income) Expense - Net	(278)	(569)	(7,754)	(2,419)
Depreciation and amortization	5,128	5,374	20,886	20,580
EBITDA	10,916	10,700	45,048	39,629
Transaction, legal and other costs	12	22	627	123
Benefit-related (gain) loss	(26)	55	(152)	(67)
Asset impairments and abandonments and restructuring	334	14	838	5,075
Adjusted EBITDA¹	\$ 11,236	\$ 10,791	\$ 46,361	\$ 44,760

¹ See "Adjusting Items" section for additional discussion and reconciliation of adjusted items.

Segment and Business Unit EBITDA, EBITDA Margin and EBITDA Service Margin					
<i>Dollars in millions</i>					
	Fourth Quarter		Year Ended		
	2025	2024	2025	2024	
Communications Segment					
Operating Income	\$ 6,775	\$ 6,189	\$ 27,927	\$ 27,095	
Add: Depreciation and amortization	4,875	5,114	19,959	19,433	
EBITDA	\$ 11,650	\$ 11,303	\$ 47,886	\$ 46,528	
Total Operating Revenues	\$ 32,121	\$ 31,139	\$ 120,896	\$ 117,652	
Operating Income Margin	21.1 %	19.9 %	23.1 %	23.0 %	
EBITDA Margin	36.3 %	36.3 %	39.6 %	39.5 %	
Mobility					
Operating Income	\$ 6,400	\$ 6,124	\$ 27,196	\$ 26,314	
Add: Depreciation and amortization	2,763	2,764	10,422	10,217	
EBITDA	\$ 9,163	\$ 8,888	\$ 37,618	\$ 36,531	
Total Operating Revenues	\$ 24,354	\$ 23,129	\$ 89,482	\$ 85,255	
Service Revenues	16,954	16,563	67,384	65,373	
Operating Income Margin	26.3 %	26.5 %	30.4 %	30.9 %	
EBITDA Margin	37.6 %	38.4 %	42.0 %	42.8 %	
EBITDA Service Margin	54.0 %	53.7 %	55.8 %	55.9 %	
Business Wireline					
Operating Income (Loss)	\$ (163)	\$ (211)	\$ (816)	\$ (88)	
Add: Depreciation and amortization	1,280	1,408	5,834	5,555	
EBITDA	\$ 1,117	\$ 1,197	\$ 5,018	\$ 5,467	
Total Operating Revenues	\$ 4,202	\$ 4,545	\$ 17,231	\$ 18,819	
Operating Income Margin	(3.9)%	(4.6)%	(4.7)%	(0.5)%	
EBITDA Margin	26.6 %	26.3 %	29.1 %	29.1 %	
Consumer Wireline					
Operating Income	\$ 538	\$ 276	\$ 1,547	\$ 869	
Add: Depreciation and amortization	832	942	3,703	3,661	
EBITDA	\$ 1,370	\$ 1,218	\$ 5,250	\$ 4,530	
Total Operating Revenues	\$ 3,565	\$ 3,465	\$ 14,183	\$ 13,578	
Operating Income Margin	15.1 %	8.0 %	10.9 %	6.4 %	
EBITDA Margin	38.4 %	35.2 %	37.0 %	33.4 %	
Latin America Segment					
Operating Income	\$ 34	\$ 21	\$ 145	\$ 40	
Add: Depreciation and amortization	189	150	671	657	
EBITDA	\$ 223	\$ 171	\$ 816	\$ 697	
Total Operating Revenues	\$ 1,259	\$ 1,044	\$ 4,379	\$ 4,232	
Operating Income Margin	2.7 %	2.0 %	3.3 %	0.9 %	
EBITDA Margin	17.7 %	16.4 %	18.6 %	16.5 %	

Adjusting Items

Adjusting items include revenues and costs we consider non-operational in nature, including items arising from asset acquisitions or dispositions, including the amortization of intangible assets. While the expense associated with the amortization of certain wireless licenses and customer lists is excluded, the revenue of the acquired companies is reflected in the measure and that those assets contribute to revenue generation. We also adjust for net actuarial gains or losses associated with our pension and postemployment benefit plans due to the often-significant impact on our results (we immediately recognize this gain or loss in the income statement, pursuant to our accounting policy for the recognition of actuarial gains and losses). Consequently, our adjusted results reflect an expected return on plan assets rather than the actual return on plan assets, as included in the GAAP measure of income.

The tax impact of adjusting items is calculated using the adjusted effective tax rate during the quarter except for adjustments that, given their magnitude, can drive a change in the effective tax rate, in these cases we use the actual tax expense or combined marginal rate of approximately 25%.

Adjusting Items				
<i>Dollars in millions</i>				
	Fourth Quarter		Year Ended	
	2025	2024	2025	2024
Operating Expenses				
Transaction, legal and other costs ¹	\$ 12	\$ 22	\$ 627	\$ 123
Benefit-related (gain) loss	(26)	55	(152)	(67)
Asset impairments and abandonments and restructuring	334	14	838	5,075
Adjustments to Operations and Support Expenses	320	91	1,313	5,131
Amortization of intangible assets	10	10	38	53
Adjustments to Operating Expenses	330	101	1,351	5,184
Other				
Equity in net income of DIRECTV	—	(1,072)	(1,926)	(2,027)
Gain on sale of DIRECTV	(101)	—	(5,580)	—
Benefit-related (gain) loss, impairments of investments and other	(22)	10	(246)	156
Actuarial loss – net	519	56	519	56
Adjustments to Income Before Income Taxes	726	(905)	(5,882)	3,369
Tax impact of adjustments	193	(190)	(73)	(221)
Tax-related items	592	222	769	222
Adjustments to Net Income	\$ (59)	\$ (937)	\$ (6,578)	\$ 3,368
Preferred stock redemption gain	—	—	(90)	—
Adjustments to Net Income Attributable to Common Stock	\$ (59)	\$ (937)	\$ (6,668)	\$ 3,368

¹ Includes certain legal reserves and settlements that cover extended historical periods and/or are unpredictable in both magnitude and timing, and therefore are distinct and separate from normal, recurring legal matters. Such costs are presented net of expected insurance recoveries and are primarily associated with legacy legal matters and the expected resolution of certain litigation associated with cyberattacks disclosed in 2024. The year ended December 31, 2025 also includes approximately \$440 of apportioned property and casualty settlements.

Adjusted Operating Income, Adjusted Operating Income Margin, Adjusted EBITDA, Adjusted EBITDA margin, Adjusted EBITDA service margin and Adjusted diluted EPS are non-GAAP financial measures calculated by excluding from operating revenues, operating expenses, other income (expense) and income tax expense, certain significant items that are non-operational or non-recurring in nature, including dispositions and merger integration and transaction costs, actuarial gains and losses, significant abandonments and impairments, benefit-related gains and losses, employee separation and other material gains and losses. Management believes that these measures provide relevant and useful information to investors and other users of our financial data in evaluating the effectiveness of our operations and underlying business trends.

Adjusted Operating Income, Adjusted Operating Income Margin, Adjusted EBITDA, Adjusted EBITDA margin, Adjusted EBITDA service margin and Adjusted diluted EPS should be considered in addition to, but not as a substitute for, other measures of financial performance reported in accordance with GAAP. AT&T's calculation of Adjusted items, as presented, may differ from similarly titled measures reported by other companies.

Adjusted Operating Income, Adjusted Operating Income Margin, Adjusted EBITDA and Adjusted EBITDA Margin				
<i>Dollars in millions</i>				
	Fourth Quarter		Year Ended	
	2025	2024	2025	2024
Operating Income	\$ 5,788	\$ 5,326	\$ 24,162	\$ 19,049
Adjustments to Operating Expenses	330	101	1,351	5,184
Adjusted Operating Income	\$ 6,118	\$ 5,427	\$ 25,513	\$ 24,233
EBITDA	\$ 10,916	\$ 10,700	\$ 45,048	\$ 39,629
Adjustments to Operations and Support Expenses	320	91	1,313	5,131
Adjusted EBITDA	\$ 11,236	\$ 10,791	\$ 46,361	\$ 44,760
Total Operating Revenues	\$ 33,466	\$ 32,298	\$ 125,648	\$ 122,336
Operating Income Margin	17.3 %	16.5 %	19.2 %	15.6 %
Adjusted Operating Income Margin	18.3 %	16.8 %	20.3 %	19.8 %
Adjusted EBITDA Margin	33.6 %	33.4 %	36.9 %	36.6 %

Adjusted Diluted EPS				
	Fourth Quarter		Year Ended	
	2025	2024	2025	2024
Diluted Earnings Per Share (EPS)	\$ 0.53	\$ 0.56	\$ 3.04	\$ 1.49
Gain on sale of DIRECTV	(0.01)	—	(0.80)	—
Equity in net income of DIRECTV	—	(0.12)	(0.21)	(0.22)
Actuarial loss – net ¹	0.06	0.01	0.06	0.01
Restructuring and impairments	0.04	—	0.09	0.72
Benefit-related, transaction, legal and other items	(0.02)	0.01	0.02	(0.02)
Tax-related items	(0.08)	(0.03)	(0.08)	(0.03)
Adjusted EPS	\$ 0.52	\$ 0.43	\$ 2.12	\$ 1.95
<i>Year-over-year growth - Adjusted</i>	20.9%		8.7%	
Weighted Average Common Shares Outstanding with Dilution (000,000)	7,108	7,215	7,179	7,204

¹ Includes adjustments for actuarial gains or losses associated with our pension and postemployment benefit plans, which we immediately recognize in the income statement, pursuant to our accounting policy for the recognition of actuarial gains/losses. We recorded a total net actuarial loss of \$0.5 billion in 2025. As a result, adjusted EPS reflects an expected return on plan assets of \$2.1 billion (based on an average expected return on plan assets of 7.75% for our pension trust and 4.00% for our VEBA trusts), rather than the actual return on plan assets of \$2.6 billion (actual pension return of 9.8% and VEBA return of 6.5%), included in the GAAP measure of income.

Net Debt to Adjusted EBITDA

Net Debt to EBITDA ratios are non-GAAP financial measures frequently used by investors and credit rating agencies and management believes these measures provide relevant and useful information to investors and other users of our financial data. Our Net Debt to Adjusted EBITDA ratio is calculated by dividing the Net Debt by the sum of the most recent four quarters Adjusted EBITDA. Net Debt is calculated by subtracting cash and cash equivalents and deposits at financial institutions that are greater than 90 days (e.g., certificates of deposit and time deposits), from the sum of debt maturing within one year and long-term debt.

Net Debt to Adjusted EBITDA - 2025					
<i>Dollars in millions</i>					
	Three Months Ended				
	March 31, 2025 ¹	June 30, 2025 ¹	Sept. 30, 2025 ¹	Dec. 31, 2025	Four Quarters
Adjusted EBITDA	\$ 11,533	\$ 11,731	\$ 11,861	\$ 11,236	\$ 46,361
End-of-period current debt					9,011
End-of-period long-term debt					127,089
Total End-of-Period Debt					136,100
Less: Cash and Cash Equivalents					18,234
Less: Time Deposits					500
Net Debt Balance					117,366
Annualized Net Debt to Adjusted EBITDA Ratio					2.53

¹ As reported in AT&T's Form 8-K filed October 22, 2025.

Net Debt to Adjusted EBITDA - 2024					
<i>Dollars in millions</i>					
	Three Months Ended				
	March 31, 2024 ¹	June 30, 2024 ¹	Sept. 30, 2024 ¹	Dec. 31, 2024 ¹	Four Quarters
Adjusted EBITDA	\$ 11,046	\$ 11,337	\$ 11,586	\$ 10,791	\$ 44,760
End-of-period current debt					5,089
End-of-period long-term debt					118,443
Total End-of-Period Debt					123,532
Less: Cash and Cash Equivalents					3,298
Less: Time Deposits					150
Net Debt Balance					120,084
Annualized Net Debt to Adjusted EBITDA Ratio					2.68

¹ As reported in AT&T's Form 8-K filed October 22, 2025.

